



Stylam Industries delivered yet another stable quarter of topline growth and operating margin improvement.

Key business highlights

- The company reported a 25% volume growth YoY and 6% degrowth QoQ in the laminates segment and achieved a capacity utilization of 84% in the quarter.
- The exports revenue grew 35% YoY & degrew by 6% QoQ.
- The domestic revenue grew by 27% YoY & degrew by 2% QoQ. The company is gradually penetrating the domestic markets and it can be seen from the improvement in the performance (+34% revenue growth in 9MFY23 vs 9MFY22)
- Solid acrylic sheets reported an improvement in the performance recording a sales of INR 7.5 crores (6 crores in Q2FY23).

Key Financial Highlights

- Revenue at INR 2339Mn, -5% qoq/+32% yoy
- EBITDA (excl OI) at INR 396Mn, -0.6% qoq/+34% yoy
- EBITDA margin at 16.92% vs 16.17% vs 16.68% in Q2FY23/Q3FY22
- PAT at INR 240Mn, -0.73% qoq/+54% yoy
- EPS at INR 14.18 vs 14.26/9.24 in Q2FY23/Q3FY22

Financial Summary

Y/E Mar (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net sales	4,795	6,593	9,537	11,333	13,048
EBIDTA	990	1,036	1,556	1,898	2,217
Margins (%)	20.7	15.7	16.3	16.7	17.0
Adjusted net profit	553	610	926	1,187	1,422
EPS (Rs)	32.6	36.0	54.6	70.0	83.9
P/E (x)	33	29	19	15	13
EV/EBITDA (x)	18	18	12	10	8
RoCE (%)	25.13	21.08	28.16	28.29	27.45
RoE (%)	21.32	19.30	22.90	22.87	21.65

Source: Company, Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BUY	1,583	49

Market data

Current price	Rs	1,060
Market Cap (Rs.Bn)	(Rs Bn)	18
Market Cap (US\$ Mn)	(US\$ Mn)	222
Face Value	Rs	5
52 Weeks High/Low	Rs	1269.05 / 760.15
Average Daily Volume	('000)	227
BSE Code		526951
Bloomberg		SYIL.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Dec-22	Sep-22
Promoters	54.61	54.61
Public	45.39	45.39
Total	100	100

Source: Bloomberg

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Concall Highlights:

- **Revenue Guidance:** The company is expecting Q4 topline to be better than Q3. Based on the current runrate the company should end the year with a topline in the range of Rs 900-950 crores. The management has guided a revenue growth of 15-20% in FY24.
- **Margin Guidance:** Gross margins should improve going forward as the raw material prices have started to cool off especially the chemical prices. Kraft paper is still above pre covid levels but expects gradual softening of prices. Operating margins should remain in the range of 17-20% going forward.
- **Solid Acrylic Surface:** Sales of Rs 7.5 crores in Q3 (Rs 6 crores in Q2) and expects it to pickup as the product acceptability increases and the dealer network expands. The company remains very confident of achieving good growth in the coming years as it is relatively cheaper than the import products and quality remains more or less the same. It has incurred a capex of Rs 50-55 crores and targets a revenue of Rs 300-350 crores at its peak utilization. The management did mention that the Government is in talks to levy anti-dumping duty on the imported acrylic products. Progress in this segment will be closely tracked. Going forward it is a key trigger for the growth of the company.
- **Domestic market:** The company has set up distributors all over the country and is confident that the domestic market will clock a sales turnover of ~ 300 to 330 crores in FY23 (FY22 – Rs 240 crores). The company has more than 200 distributors in the country.
- **Capacity Utilisation:** The company has achieved a capacity utilization level of 84% in Q3 and expects to increase going forward. 3.01 mn sheets were sold in Q3FY23.
- **Capacity expansion:** The company is expanding its capacity by 40% for value added products and it has a planned capex of Rs 40 crores over 2-3 years. Value added products should aid better realisations and margins.
- **Working capital:** The working capital days stood at 96 days in Q3(82 days in Q2) mainly due to built up of inventory in the acrylic segment and higher receivable days in the domestic markets.
- **Demand Scenario:** The company has not indicated any kind of softness in the demand. Indian players are being preferred globally because of their cost competitiveness and quality. America is a region where their presence is less and wants to grow over a period of time. Europe and Middle East remains very strong for the company.

Quarterly Snapshot

Stylam Industries		YoY		QoQ	
Particulars (Rs Mns)	Q3FY23	Q3FY22	Growth	Q2FY23	Growth
Revenue from operations	2,339.79	1,768.70	32.29%	2,463.4	-5.02%
Other income	2.33	(35.77)	-106.51%	2.610	-10.77%
Total Income	2,342.1	1,732.9	35.15%	2,466.0	-5.02%
Cost of Materials consumed	1,293.67	1,021.50	26.64%	1,451.6	-10.88%
Purchase of stock in trade	-	6.31	-100.00%	-	
Changes in inventories of Finished goods and WIP	13.17	(41.13)	-132.02%	-81.8	-116.09%
Employee Benefit expenses	179.22	145.50	23.17%	168.5	6.38%
Other Expenses	460.08	305.76	50.47%	529.3	-13.08%
EBITDA (excl other income)	396.0	295.0	34.24%	398.5	-0.63%
Less : Depreciation	38.00	59.90		60.1	
PBIT	358.0	235.1	52.28%	338.4	5.77%
Less: Interest cost	40.85	20.16		13.4	
PBT (before exceptional)	317.1	214.9	47.56%	325.1	-2.44%
Exceptional	-	-		-	
PBT (after exceptional)	317.1	214.9	47.56%	325.1	-2.44%
Less : Tax	76.83	58.67		82.9	
PAT	240.3	156.3	53.79%	242.2	-0.77%
EPS	14.18	9.24	53.46%	14.26	-0.54%
Gross Margins	44.15%	44.21%		44.40%	
EBITDA Margins	16.92%	16.68%		16.18%	
Net profit Margin	10.26%	9.02%		9.82%	
Sheets sold (in Mns)					
Laminates	3.01	2.4	25%	3.2	-6%
Average Realisation					
Laminates	754	738	2%	751	0%

Valuation & Outlook

The company has delivered yet another quarter of stable topline and margin improvement. The company is on track to double its revenue by FY25. The key to further re-rating in the stock is the pickup in the solid acrylic segment which could be a big growth driver for the company. Progress in the segment will be closely watched upon.

At CMP of Rs 1,060 the company is trading at 15x FY24e and 12.7x FY25e. We value the company at 19x FY25e and arrive at a target price of Rs 1,583 an upside of 49%. We remain optimistic on the growth prospects of the company and recommend BUY.

FINANCIALS

P&L (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Sales	4,795	6,593	9,537	11,333	13,048
Total Operating Expenses	2,465	3,755	5,324	6,267	7,215
Employee Cost	383	548	681	776	862
Other Expenses	957	1,255	1,975	2,391	2,753
Operating Profit	990	1,036	1,556	1,898	2,217
Depreciation	231	233	206	241	261
PBIT	759	803	1,350	1,658	1,957
Other income	11	80	10	40	40
Interest	60	78	117	105	87
PBT	710	805	1,243	1,593	1,909
Provision for tax	157	195	317	406	487
Reported PAT	553	610	926	1,187	1,422
MI	-	-	-	-	-
Net Profit	553	610	926	1,187	1,422

Balance Sheet (Rs mn)	FY21	FY22	FY23E	FY24E	FY25E
Equity capital	85	85	85	85	85
Reserves	2,510	3,076	3,960	5,104	6,484
Net worth	2,595	3,161	4,045	5,189	6,569
Non Current Liabilites	426	230	181	164	158
Current Liabilites	1,051	1,498	1,992	2,091	2,143
TOTAL LIABILITIES	4,071	4,889	6,218	7,444	8,870
Non Current Assets	1,933	1,830	2,157	2,301	2,355
Fixed Assets	1,878	1,787	2,112	2,253	2,304
Goodwill	-	-	-	-	-
Non Current Investments	14	11	11	11	11
Deferred Tax Asset	-	-	-	-	-
Other Financial Assets	14	15	15	15	15
Other Non Current Assets	27	16	19	21	25
Current Assets	2,138	3,059	4,061	5,144	6,515
Current investments					
Inventories	718	1,329	1,700	2,025	2,331
Trade Receivables	986	1,188	1,700	2,025	2,331
Cash and Bank Balances	151	87	137	490	1,161
Short Term Loans and Advances	0	0	0	0	0
Other Current Assets	282	456	524	602	693
TOTAL ASSETS	4,071	4,889	6,218	7,444	8,870

FINANCIALS

Cash Flow St. (Rs. mn)	FY21	FY22	FY23E	FY24E	FY25E
Net Profit	553	610	926	1,187	1,422
Add: Dep. & Amort.	231	233	206	241	261
Cash profits	785	843	1,132	1,427	1,683
(Inc)/Dec in					
Sundry debtors	(113)	(201)	(512)	(325)	(305)
Inventories	(51)	(611)	(371)	(325)	(305)
Other financial assets	(13)	10	(2)	(3)	(3)
Other Current Assets	(37)	(174)	(68)	(79)	(90)
Current Liab and Provisions	(77)	(39)	116	7	10
Sundry Creditors	160	65	230	155	146
Change in working capital	(131)	(949)	(608)	(570)	(548)
CF from Oper. activities	654	(106)	524	857	1,135
CF from Inv. activities	(47)	(139)	(531)	(381)	(312)
CF from Fin. activities	(517)	181	57	(122)	(152)
Cash generated/(utilised)	90	(65)	50	354	670
Cash at start of the year	61	151	87	137	490
Cash at end of the year	151	87	137	490	1,161
Ratios	FY21	FY22	FY23E	FY24E	FY25E
OPM	20.65%	15.71%	16.32%	16.75%	16.99%
NPM	11.51%	9.14%	9.70%	10.43%	10.87%
Tax Rate	22.08%	24.19%	25.50%	25.50%	25.50%
Growth Ratios (%)					
Net Sales	3.76%	37.50%	44.64%	18.84%	15.13%
Operating Profit	24.37%	4.60%	50.22%	21.98%	16.82%
PBIT	45.68%	13.39%	54.47%	28.14%	19.85%
PAT	553	610	926	1,187	1,422
Per Share (Rs.)					
Net Earnings (EPS)	32.6	36.0	54.6	70.0	83.9
Cash Earnings (CPS)	13.7	13.7	12.1	14.2	15.4
Dividend	-	2.5	2.5	2.5	2.5
Book Value	153	187	239	306	388
Free Cash Flow	36	(15)	(0)	28	49
Valuation Ratios					
P/E(x)	32.51	29.47	19.42	15.15	12.64
P/B(x)	6.93	5.69	4.45	3.47	2.74
EV/EBIDTA(x)	18.43	17.90	11.95	9.57	7.65
Div. Yield(%)	0.00	0.24	0.24	0.24	0.24
FCFF Yield(%)	3.37	-1.37	-0.04	2.65	4.58
Return Ratios (%)					
ROE	21.32%	19.30%	22.90%	22.87%	21.65%
ROCE	25.13%	21.08%	28.16%	28.29%	27.45%

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